

EQUITY RESEARCH · COMPANY DEEP DIVE

Microsoft Corporation (MSFT.US)

Technology · Software - Infrastructure

Large Cap (>\$200B) · Report Date: August 31, 2026

Latest financials: Q2 FY2026 · Model data as of 2026-08-31

HOLD

Composite · Valuation: HOLD

Target \$490.74 · -3.8% upside

Price \$510.25

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target \$490.74 (-3.8% vs \$510.25); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	HOLD	Blended PT \$490.74	45%
FSA	Strong	Health +0.30 · Strong	20%
Technical	NEUTRAL	Neutral	20%
Quantitative	NEUTRAL	Score -0.20 · 12m +2%	15%
Composite	HOLD	Score -0.04 · 50% confluence	—

Solid financial statement profile.

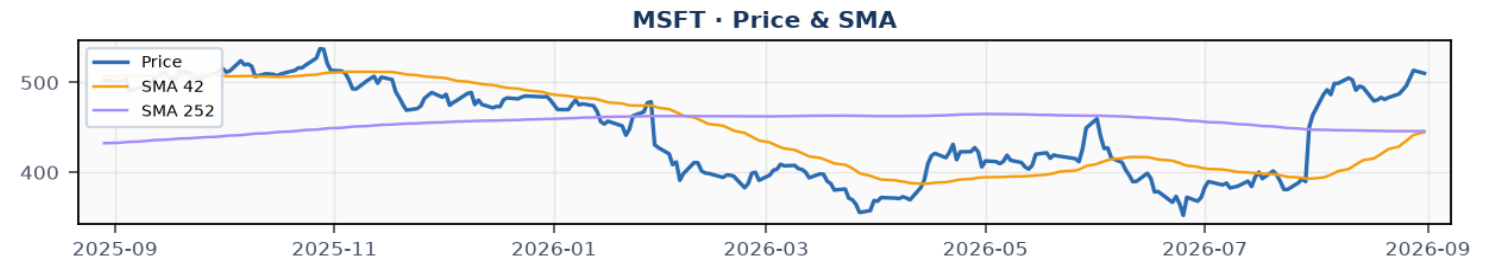
INVESTMENT THESIS / EXECUTIVE SUMMARY

Microsoft Corporation (MSFT) — Technology. Microsoft Corporation, a technology company, develops and supports a portfolio of technology solutions for individuals and businesses worldwide. Its... **HOLD** rating; blended target \$490.74. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$3.79T	Shares Out.	7425.5M
52-Week Range	\$349.20 – \$553.72	P/E (TTM)	28.4x
P/B	8.6x	Beta	1.10
Avg Volume	38.14M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$331.84B	Rev Growth	+17.7%
Op. Margin	45.1%	FCF (TTM)	\$66.99B
Gross Margin	67.9%	ROE	34.0%
EV/EBITDA	19.9x	Debt/Equity	29.1%
EPS (TTM)	\$17.97	Div Yield	71.0%

PRICE TREND · SMA 42 / 252



Page 2 of 2 · Microsoft Corporation (MSFT) · Financials · Valuation · Peers · Q2 FY2026 · 2026-08-31

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue (\$M)	281,724	331,839	390,575	441,896	485,856
Revenue Growth (%)	N/A	17.8%	17.7%	13.1%	9.9%
Net Income (\$M)	101,832	133,749	157,423	178,108	195,826
Gross Margin (%)	68.8%	67.9%	67.9%	67.9%	67.9%
Net Margin (%)	36.1%	40.3%	40.3%	40.3%	40.3%
EPS (\$)	13.71	18.01	21.20	23.99	26.37
P/E (x)	37.21	28.33	24.07	21.27	19.35

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$444.70	Short-term trend	12m Momentum	+1.5%	
SMA (252d)	\$445.94	Long-term trend	3m Momentum	+15.8%	
RSI (14d)	55.0	Momentum oscillator	Ann. Volatility	28.2%	
Trend	Neutral		Sharpe Ratio	0.29	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-37.1%	
Death Cross (20d)	No		Rel. Strength vs SPY	-5.6%	
TA Signal	NEUTRAL	SMA42=\$444.70, SMA252=\$445.94	Quant Score	-0.20	NEUTRAL
			SMA Backtest (ann.)	7.2%	B&H; 19.1%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$199.98	-60.8%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — Blended	\$471.06	-7.7%	80%	Included in blend
Analyst consensus	\$569.45	+11.6%	20%	Included in blend
Blended target	\$490.74	-3.8%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
10.04%	4.00%	8.85%	\$1.48T	\$199.98	-60.8%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ORCL	Oracle Corporation	\$432.36B	25.8x	18.9x	25.4%	+20.6%
CRM	Salesforce, Inc.	\$213.58B	23.7x	18.7x	22.0%	+10.8%
NOW	ServiceNow, Inc.	\$154.57B	92.9x	53.0x	11.3%	+24.0%
IBM	International Business	\$221.86B	20.9x	16.9x	15.5%	+1.1%
MSFT*	Microsoft Corporation	\$3.79T	28.4x	19.9x	40.3%	+17.7%

* Subject company. P/e in line with peer median; stronger profitability than peers. Trends: Strong top-line growth (17.7% YoY); High operating leverage (45.1% margin); Sector: Technology | Industry: Software - Infrastructure - Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.